INSURTECH BUSINESS MODELS



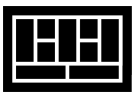
THE BUSINESS
MODEL ANALYST

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

SUPER GUIDE:

INSURTECH BUSINESS MODELS

BY DANIEL PEREIRA



THE BUSINESS
MODEL ANALYST

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

© THE BUSINESS MODEL ANALYST

The Business Model Analyst is a website dedicated to analyzing business model types, patterns, and innovations using the business model canvas as its primary tool. The site offers a wide variety of free and premium content, including digital products such as PDF tools, presentations, spreadsheets, ebooks & guides, and much more. **Check it out here.**

Daniel Pereira
The Business Model Analyst Ottawa, ON, Canada
businessmodelanalyst.com

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Copyright © 2022 Daniel Pereira

All rights reserved.

ISBN: 978-1-998892-09-9

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

TABLE OF CONTENTS

Introduction 8

What Is A Insurtech? 10

The History Of Insurtech 12

How Does Insurtech Work? 14

What Makes Insurtech Revolutionary? 16

Insurtech Today: Market Size, Landscape, Global Growth 18

Insurtech Business Models With Examples 20

- Direct Insurers Or Tied Agents 20
  - Bima 20
  - Metromile 21
  - Trov 21
  - Root 21
  - Cuvva 22
  - Neos 22
- Process-Improvement 22
  - Wefox 22
  - Rentablo 23
  - Getsafe 23
- Marketplaces/Aggregators 23
  - Policybazaar 23
  - Coverhound 24
  - Insurify 24
  - Policygenius 24

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Coverfox 24
Peer-To-Peer/Cashback 25
Friendsurance 25
Lemonade 25
Sales, Marketing, Engagement 26
Zywave 26
Welltok 26
Kasko 27
Covi-Analytics 27
Zipari 27
Benefits Of Insurtech 28
For The Consumer Perspective 28
For Insurance Providers Perspective 30
Insurtech Trends And Opportunities To Pay Attention To When Building A Solution 32
Artificial Intelligence & Machine Learning 32
Real-Time Iot Data Changes Everything 33
Driving Efficiency With Robotic Process Automation (Rpa) 35
Consumer Experience Becomes A Competitive Advantage 35
Enhanced Data Management & Security With Blockchain 36
Big Data Advanced Analytics 36
The Rise Of No-Code & Low-Code Platforms 37
Social Media Data 37

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Drones 38
Criticism Of Insurtech 40
Conclusion 42
References 43
About The Author 44

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

INTRODUCTION

The insurance industry is one of the oldest financial businesses that continue to grow to date. It is considered to be an almost 300-year-old industry made up of companies and firms that work on distributing risk.

The concept is very simple, one party takes the risk and gives assurance of payment for an uncertain future event. Though the world has advanced rapidly because of the technological revolution, it seems that the revolution didn't have much influence in the insurance industry, until the emergence of InsurTech.

The insurance providers are sometimes criticized for not taking the actual risk to provide people the best customer service, but to maximize their profit. However, the revolution came into existence when InsurTech began to flourish and challenged the old model of insurance business. Instead of just maximizing the profit, InsurTech focused on providing the best customer experience to the consumers with the help of technology.

The continuously developing innovative ideas played a great part in InsurTech becoming a game-changer in the insurance industry. The inclusion of automation and customized pricing attracted consumers to the market.

InsurTech startups continued to bring new unique ideas, hence motivating the purchase of the policies at a very low price and having the best customer experience.

Instead of relying on the old business model, InsurTech introduced several business models, each serving a specific

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

purpose.

The inclusion of every class of people helped it to grow fast enough that investors started to see the future of insurance in InsurTech. They started investing money and resources in the company, which made it possible to become a billion-dollar industry in just a few years.

InsurTech takes care of both sides, the insurer and the insured. With the continuous development of the InsurTech trend, the industry is expected to flourish around the globe.

In this super guide, I will have a deeper look into InsurTech, how it emerged, the way it works, what are the factors working behind its growth, the business models, and recent trends of InsurTech. Let's dive into the discussion!

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

WHAT IS A INSURTECH?

The word InsurTech emerged from two well-established terms, Insurance and Technology. While Insurance is considered as a contract or an assurance represented by a policy, according to which an individual or entity gets financial protection or compensation against losses from an insurance company, Technology is something that is a combination of techniques, skills, methods, and processes used to improve our daily experience.

When this technology is used in the process of insurance, it is termed as InsurTech. In general terms, InsurTech refers to the new insurance technology that is motivated to ensure the best user experience or customer experience. It's a kind of technology that has been used in the insurance industry to simplify policy management as well as increase competition.

To ensure the best user experience, InsurTech companies developed techniques that made the process of purchasing all types of insurance easier and more convenient way. From consumer products to small business insurance, customers can now buy any kind of insurance more easily.

They can now do some digging, compare policies and make a purchase online when they want. There is no need to visit a local agent physically. InsurTech is the technological innovation that improved the creation, distribution, and administration of the insurance business.

InsurTech can be an Application for smartphones and wearables, a solution for automated policy management, or

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

an accident handling software.

Basically, it refers to any new technology that is introduced to insurance companies to save costs or to simplify streamline processes. While some of these techs are threatening the existence of well-established insurers, most others are focused on building ties with incumbents and enabling their digitization.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

THE HISTORY OF INSURTECH

The process of the evolution of InsurTech has been gradual, but the term has been in use for around a decade now. InsurTech emerged around 2010 as a branch or side shoot of a similar attempt in banking, known as ‘fintech’.

Where it refers to the integration of technology into the financial system, in order to improve financial service providers to consumers (Ex: Mobile Banking).

InsurTech has evolved around the insurance industry. It is used to refer to any new technology like applications and wearables, data science, and machine learning, which is integrated with insurance companies to save costs or streamline processes.

InsurTech has seen a rise in the industry at a slow pace. Some of the few early players that introduced innovation in insurance tech were CoverHound, the price-comparison portal, Friendsurance, and Trov. AXA is among the first companies that declared its intent to become a digital insurer, and, back in 2014, it established a lab in Silicon Valley and publicized its affiliation with Facebook. But the actual tide came later in 2015, when the tech giant Google decided to step in.

In March 2015, Google stepped into the motor insurance comparison market. Nonetheless, the company left the market just a year later, having little impact on the insurance

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

industry.

Once again, InsurTech saw a rise, during the Covid-19 pandemic. Yes, you are reading it right. Though the pandemic has forced the world to make abrupt and far-reaching changes, InsurTech has seen a renewed rise in investment.

Insurance Business published a Special Report: InsurTech 2020 in which it stated: “If the Covid-19 pandemic has demonstrated anything, it’s that almost anything can be done online, including insurance transactions [1].” While in 2011, it saw a growth of USD $131 million in capital investments thanks to the 45 investors who made it happen, eight years later, in 2019, insurance global investment reached USD $5.5 billion.

The number of investors as well as firms calling themselves insurance tech startups has also increased, growing a vast system of interconnected services.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

HOW DOES INSURTECH WORK?

The thing is that InsurTech has no fixed boundary. InsurTech startups use a variety of technological services and processes, and their applications are constantly evolving.

So it's hard to make an easy drawing on how InsurTech actually works. But there is one thing in common among all the service providers, 'The Ultimate Goal'.

Most InsurTech startups focused on rivaling big, established companies and growing their market share by providing the best user experience to the customers.

In comparison to other industries and products, the traditional insurance models are kind of outdated. In this fast-growing world, people want things in a faster way. Working through stacks of forms, filling them up and submitting them to an agent sounds boring.

Today, people want to be able to purchase their insurance with a tap of the finger. InsurTech startups understand this demand and find solutions to it.

In traditional insurance models, customers are sorted into large groups according to their risk category. However, these large groups have their drawbacks: Some people in those groups will end up paying more for them than they should.

InsurTech startups recognize this issue and find solutions to it

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

by creating smaller risk categories. Instead of using statistical models, they use real data to offer their customers easier solutions. The real data gathered from various sources makes it easier for them to develop a more competitive pricing strategy. Customers always prefer cheaper insurance policies.

Generally, InsurTech streamlines and enhances backend processes which improve the customer experience and also serve the insurance company. How InsurTech streamlines the backend process is a complicated question to answer. The most common example is smartphone apps and chatbots.

The need for hiring a customer service employee to respond to customers' concerns is decreasing, chatbots are taking their place. Many of the customers' concerns can be answered by chatbots that automatically respond to inquiries day and night, therefore, simplifying the customer service experience as well as saving money for the company.

Smartphone apps are also used to improve customer experience. Customers can easily get their work done anytime with some tap of their finger. In addition to the best customer experience, it also saves time and resources for both customer and company.

To provide more intuitive and tailored services to the individual, InsurTech also uses data from wearables and social platforms.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

WHAT MAKES INSURTECH REVOLUTIONARY?

You may be thinking of InsurTech as something that brought the insurance industry online with some apps and services. This is partially true, but InsurTech doesn't necessarily stop there, it has impacted almost every part of the value chain more intensely.

As discussed in the earlier section, InsurTech simplifies the customer service experience as well as saves money for the company.

Firstly, introducing an automated approach not only reduces costs but also simplifies streamlined operations to provide the best customer experience at a more competitive price.

Because of its highly automated policy management tangling with other back-end processes, insurance firms now can offer many law-priced premiums. And, as most of the business procedures are done automatically, firms can now focus on more user-friendly products.

Secondly, its ability to deliver more tailored service to the customers based on their usage or value-added services makes InsurTech a game-changer in the market. Data is a major element for any business that is trying to bring more user-focused services.

Insurance tech startups collect real data of their targeted customers and use this data to get a more deep insight into

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

customer behavior.

Startups now analyze the data using powerful tools derived from Data Science & Big data, using AI & machine learning techniques to offer customized individual coverage.

Unlike traditional insurers, InsurTech focuses on inclusion. It includes the underinsured consumers like small businesses, pet owners, or disabled persons into the system.

Covering a large area by creating niche-based categories and delivering more customized services, InsurTech makes sure no one is left behind.

These kinds of modifications that InsurTech brought to the insurance sector deserve a lot of applause, therefore, making it a game-changer in the industry.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

INSURTECH TODAY: MARKET SIZE, LANDSCAPE, GLOBAL GROWTH

Since the Covid-19 pandemic, when many other industries fell apart, InsurTech saw an uprising in their investment.

Today, it has become a USD $5.5 billion sub-industry, and it is expected to grow significantly. By 2025, it is predicted to become a USD $10.14 billion industry [2].

Because of its simplification of the claiming process, more improved communication system with the customers, and its capabilities to carry through tasks enabling automation are the key driving factors working underneath its growth.

And, because it is developing day by day, the transaction becomes easier with upgraded payment processing technologies.

New innovative and unique solutions offered by insurance tech startups to revamp the value chain are attracting investors to take a chance.

In addition to that, the FinTech industry also recognizes the necessity to integrate insurance-specific technologies into their systems. Creating the pathway to the potential

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

collaboration between the two sectors, opening new doors to brokers, vendors, analysts, and policyholders.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

INSURTECH BUSINESS MODELS WITH EXAMPLES

InsurTech companies are taking care of all lines of business. The InsurTech industry consists of hundreds of market participants that can be categorized into five basic InsurTech business models.

DIRECT INSURERS OR TIED AGENTS

When insurance companies sell their policies directly to customers, it is considered as Direct Insurers or Tied Agents. It is a kind of InsurTech business model where no intermediaries are needed. No intermediaries mean no need to pay commission, hence allowing them to charge low premiums to their customers.

The risks assumed by a direct insurer are re-insured by the re-insurer. There are some well-known companies that use this model. For example:

BIMA
BIMA is one of the leading providers of mobile-delivered health and insurance, mostly covering the Asian region. The company provides affordable, all-in-one, family health services, covering insurance and underwriting to millions of underserved low-income people of Africa and Asia, through major mobile network operators.

According to their website, most of their customers “live on

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

less than USD $10 per day and are at high risk of illness or injury, and 75% of [their] customers are accessing insurance services for the very first time" [3]. The company offers a range of affordable life insurance and health-related micro-insurance products.

METROMILE

With an intention to minimize drivers overpaying for auto insurance using the traditional auto insurance model, Metromile offers their customers to pay based on their actual driving habits. Their model is to "pay a low monthly rate, plus a few cents for each mile you drive" [4].

They are one of the leading car insurance companies in the U.S. Recognized by Forrester as a top insurance carrier in user experience. The company offers Liability Coverage, Vehicle Coverage, and also Medical Coverage. The company has a diverse team that combines Silicon Valley's best technologists with veterans from Fortune 500 insurers and financial service institutions.

TROV

Trōv is one of the leading insurance technology platforms, enabling new ways for people to live, work, and move. Their consumer app offers 'micro-duration policies' for individual items that toggle on and off. The company has partnered with insurance carriers, providing coverage for consumers belonging to protected through the app.

ROOT

ROOT is another insurer in the car insurance category, which provides individual offers to the customers based on their driving. To get a car insurance quote from them, drivers have to go through weeks of test-driving. In the meantime, they gather and analyze data from drivers' smartphone sensors and, after a few weeks, they offer a car insurance quote based on the performance of the driver. The company covers

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

most of the U.S. states.

Cuvva
Cuvva entered into the market changing the whole concept of car insurance policies, creating a genuine, useful, innovative way to think about driving with a fair amount. It is so flexible that it is designed to suit drivers' lifestyles from just 1 hour to rolling monthly cover. It offers temporary car or van insurance, learner driver, and subscription insurance in the app.

NEOS
NEOS is an UK-based life insurance company providing insurance in smart home technology. NEOS works with innovators and manufacturers to create high-quality, easy-to-use products that are big on features and small on price.

PROCESS-IMPROVEMENT

Process-improvement InsurTech business model basically refers to the Insurance Management solutions focusing on convenient tracking and administration of users' insurance policies and contracts in one place. Some of the companies using this model are listed below:

Wefox
Wefox is a company created with an intention to minimize complicated paperwork for purchasing and managing insurance. It allows its users to handle all their insurance policies from one place.

From updating Wefox Policies and personal details in real-time to tracking their status. The Wefox app also ensures that its users are getting the best rate across all their insurance policies.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Rentablo
Rentablo is a German company that offers a 360° overview of its entire finances. It allows their users to import all their deposits and accounts directly from the bank. Rentablo imports and manages all the insurance policies of their users and keeps an eye on the insurance portfolio. It also helps its customers by providing low-priced fee consulting to optimize the insurance portfolio.

GetSafe
Getsafe is a company built on the process improvement model to reinvent how people do insurance. It is focused on building radically the best insurance experience with some fingertips.

Using technology and machine learning, Getsafe provides digital insurance products in almost all business lines. Their app is available to customers 24/7 and 365 days a year, allowing customers to file claims or change their real-time coverage.

MARKETPLACES/AGGREGATORS

Marketplaces/Aggregators InsurTech business model are online platforms with a huge number of insurance products and companies listed on their server, allowing users to compare prices and terms. Some examples are, PolicyBazaar, CoverHound, Insurify, PolicyGenius, and Coverfox.

PolicyBazaar
PolicyBazar is an Indian company that focuses on bringing the Best Insurance for its customers, especially NRIs. It has a broad range of insurance and investment products on its website and app.

Using their website and app, users can easily compare

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

financial services from major insurance companies and pick the best option for them. It has tied up with different insurance providers, such as car insurance, health insurance, life insurance, corporate insurance, and travel insurance as its business partners.

CoverHound
CoverHound is established to bring fast, accurate, and actionable quotes to its customers based on their specific needs with competitive rates and coverages all in one place. It has a list of the best options for both personal and business insurance needs. It is one of the leading comparison platforms, promising to get the best options for its customers.

Insurify
Insurify focuses on bringing personalized quotes to its customers. Customers can compare discounts and payment options for each insurance company in one place. It allows its customers to get the policy they want and how they want it. They can either buy online or schedule a call with an agent.

Policygenius
Policygenius is the online insurance marketplace with a combination of cutting-edge technology with the expertise of real licensed agents to help customers get the coverage they need to protect their family, property, and finances with confidence.

Like the other platforms I have talked about so far, Policygenius also allows its customers to compare quotes from various insurance companies, all in one place. In addition to that, it offers a full-bodied database of articles on different insurance products, helping people to walk through the insurance purchasing process.

Coverfox
Coverfox is an IRDAI authorized insurance brokerage firm that

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

started its journey in 2013 with an aim to make insurance simple. It also allows its users to compare the features and prices of an insurance policy before purchasing any policy and help them to buy the best policy.

PEER-TO-PEER/CASHBACK

Peer-to-Peer/Cashback InsurTech business models allow individuals to team up and club their premiums together to protect themselves against the probable risk and commonly derive benefits regarding premium proceeds. Some examples of this kind of platform are Friendsurance, Guevara, Lemonade, Uvamo, and insPeer.

Friendsurance
Friendsurance is a customer-centric digital insurance solution that introduced the world's first peer-to-peer insurance model that rewards staying claims-free.

In 2017, they started to extend their services by introducing Digital Bancassurance, which basically means the digitization of insurance services for banks or insurance companies, for example, Deutsche Bank and Allianz.

Lemonade
Lemonade Insurance Company offers homeowners, renters, car, pet, and term life insurance powered by artificial intelligence named 'Maya'. It has replaced brokers and bureaucracy with AI and machine learning, with an intention to zero paperwork and instant everything.

Lemonade reverses the traditional insurance model and tries to keep everything simple and transparent. They take a flat fee, pay claims superfast, and give back what's left.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

SALES, MARKETING, ENGAGEMENT

Sales, Marketing, and Engagement InsurTech Business model comprise technology insurance companies that offer specialized tools to industry-related third parties, not only to brokers and insurers, mainly in the form of API (Application Programming Interface) or SaaS business model.

To improve certain parts of the value chain, improve user experiences and more fair pricing, these process modifiers are used. There are some big names such as Zywave, Welltok, KASKO, CoVi Analytics, Zipari, Qover, Dynamis, LifeDrip, and Sureify who are leading providers of this kind of service.

Zywave
Zywave is a leading company that leads the insurance tech industry. It fuels business growth for its partners with the most expansive portfolio of cloud-based sales management, client delivery, content, and analytics solutions.

It offers an all-in-one platform full of robust data and the most comprehensive content library available. They empower their partners to make smarter business decisions throughout the entire customer lifecycle in service of greater health, wellness, and safety.

Welltok
Welltok helps all types of organizations connect with people on a personal level. It helps to improve people's physical, mental, social & financial wellbeing.

They provide solutions that are a smart mix of a Consumer Activation Platform, enriched data, a partner ecosystem, and top-notch professional services to help health plans, employers and health systems achieve their goals.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

KASKO
KASKO helps insurers and their partners to design, launch, and scale flexible insurance services that are cost-effective and fast.

They help innovative and creative insurers to shape the future of the insurance industry. By offering an API-powered agile insurance product and distribution platform that operates between digital customer touchpoints and legacy IT systems KASKO is helping InsurTech startups grow fast.

CoVi-Analytics
CoVi-Analytics offers products and services that reduce the Risk and Compliance effort, freeing their customers to focus on their business.

They develop product solutions that connect operational information with big data through technologies. Thus, helping businesses to simplify their activities, automate operations, and deliver new insights.

Zipari
Zipari is the only consumer experience technology company exclusively focusing on health insurance. Zipari helps insurers to move forward with their plan with a big lift in digital engagement and self-service, building strong relationships, empowering healthy actions, and running better operations – all that with a lower cost. They use a CX platform that is built to make health insurance better for everyone.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

BENEFITS OF INSURTECH

The benefits of InsurTech can be seen from different perspectives. In this guide, I will discuss the benefits from two points of view:

- From Consumer Perspective.
- From Insurance Providers' Perspective.

FOR THE CONSUMER PERSPECTIVE

The whole idea of InsurTech is based on providing the best customer experience. It has brought the customers' satisfaction ahead of everything. Insurance Tech startups prioritized the consumer in order to compete in the market. There are multilevel benefits of InsurTech if we see it from consumers' point of view.

Firstly, it has empowered the consumer. In InsurTech, consumers are a part of the whole streamlined process. From purchasing to claiming, in every process consumers are playing part even consumers can even determine who sits on the claims jury panel for a hearing.

Secondly, it paved the pathway for easy and convenient access. Nowadays, almost everything has come into people's hands, thanks to smartphone technology.

Today, most consumers do all of their work through their smartphones. When it comes to insurance, expecting the same mobile ease is quite normal.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

But the old insurance model failed to meet this expectation, thus leaving the path for InsurTech to emerge and grow.

InsurTech is so user-friendly that consumers can compare, verify and purchase policies from their own smartphones.

No need for filling up boring papers, the blessing of the automated processes made it easy for the customers to do all this stuff just with a few taps of their finger. Both insurers and consumers can check the status remotely, hence saving time for both parties.

Thirdly, breaking down the larger categories into niche-based smaller groups helped InsurTech to cover a whole range of customers who are excluded from the old models.

This inclusion not only serves the goal of the insurer but also helps consumers to get what they want. InsurTech enables law-earning groups to take part in the industry, and it also takes care of the situations that some people don't have to overpay for their insurance.

InsurTech companies collect and analyze data from clients that enables them to offer more upgraded and tailored products to their customers.

And lastly, the increased security and customization provided by InsurTech companies helped them to earn people’s trust.

Customers need to believe that they are 100% safe while making any transaction online, maybe via an app. Companies now set uncompromising anti-spamming and security policies to earn the trust of consumers when they transact online.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

FOR INSURANCE PROVIDERS PERSPECTIVE

As I mentioned earlier, InsurTech takes care of both the insurer and the consumer. Using the InsurTech models', Insurance companies can now maximize their profit while giving the best customer experience to their consumers.

InsurTech saves the insurance sector time and money by bringing its automation processes. Instead of going through all the paperwork, insurers can now have all the information organized in a server automatically. It creates opportunities for them to utilize the time in focusing on their business.

Secondly, InsurTech also saves money by keeping the fraud away from the border, specifically in the customer identity verification process and anti-money laundering. There are various technologies used by InsurTech companies to ensure that, for example, fingerprint matching.

InsurTech is getting bigger day by day with the innovative and unique ideas brought by the InsurTech startups. Newer methods of insurance distribution such as peer-to-peer (P2P), pay per mile, or micro-insurance policy all helped the startups to get targeted consumers and contributed to the growth of the insurance industry.

Last but not least, InsuTech enables insurance companies to provide the best customer experience. Companies now can directly sell policies to the customers. No mediator or agent is needed, which allows them to offer cheaper policies to the consumers. The 24/7 support system is made possible for the chatbots that are answering the general queries of the consumers.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

The benefits of InsurTech are basically multi-shaped, as it can be described from various points of view. The newer and innovative ideas, such as microfinance, open new doors to the customers and insurers to get benefits from.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

INSURTECH TRENDS AND OPPORTUNITIES TO PAY ATTENTION TO WHEN BUILDING A SOLUTION

In today's world, technologically advanced insurance companies are gradually taking over the insurance industry. Overthrowing the old insurance model or in many cases assimilating with them brought new opportunities for companies around the world.

We never know what trends are going to rule the market in the future, but there are some tech trends that are showing the best chance to lead the industry in the upcoming times. I will discuss some of these trends in this section.

ARTIFICIAL INTELLIGENCE & MACHINE LEARNING

Artificial Intelligence (AI) and Machine Learning (ML) are already leading the industries to the next level. Not only for the insurance providers but AI & ML also marked their footsteps in almost every field. Certainly, they will remain as a top-notch InsurTech trend for the upcoming days. Why so?

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Then I have to ask: why not? They are already impacting the insurance industry in a whole new way. Things that were never even imagined by the insurance providers are now happening in seconds.

Thanks to this advanced technology, almost every step of the streamlined process has now become more efficient. Automating the underwriting processes, claim settlements, fraud detection, everything becomes so easier by the blessing of AI & ML.

Companies are now focusing on collecting real-time data, analyzing the customer behavior, analyzing the risks with the help of Artificial Intelligence to maximize the profit along with providing the best customer experience to their consumers.

AI is now handling most of the back-end processes, helping customers to solve problems with a 24/7 support system. One prominent example of this is Chatbots, which changed the way we looked at customer service providing.

These virtual assistants are helping consumers to make their journey easy, guiding them whenever they need.

REAL-TIME IOT DATA CHANGES EVERYTHING

The use of IoT (The Internet of Things), the vast network of physical objects or things embedded with software, sensors, and other technologies, changed the data collection and analyzing processes.

IoT connects devices and exchanges data between devices and systems over the internet, opening new doors for insurance companies to have a deeper understanding of their

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

customer. And if you know your customer, you know how to serve them.

InsurTech companies can collect data from wearables, and from their apps and websites to understand how and what makes their customer interested.

Based on this real-time data, they can take actions that will help them to mitigate risk and provide the best services to their customers.

They can provide on-spot advice to their consumers helping them purchase the policies, immediate suggestions on the claiming process.

Telematics, the technology that is to monitor cars, trucks, equipment, and other assets by using GPS technology that allows the sending, receiving, and storing of telemetry data, paved the pathway for Usage-Based Insurance (UBI). The UBI is gaining popularity in the insurance market.

One such facility is already provided by ROOT, a car insurance company that provides individual offers to the customers based on their driving.

Such companies use telematics devices installed in the vehicle and an app designed to collect and deliver the data. Consumers are also getting attracted to this kind of InsurTech model to get a personalized offer with a better price tailored for them.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

DRIVING EFFICIENCY WITH ROBOTIC PROCESS AUTOMATION (RPA)

One of the most widely accepted tech trends in the InsurTech industry is Robotic Process Automation (RPA). The process gave a strong boost to the streamlined process of the insurance industry.

From registration to claiming, everything can be done automatically.

Thus, reducing the time and effort and also freeing consumers from filling up a bunch of documents. Consumers can now easily register, compare and also claim insurance easily from an app or website.

CONSUMER EXPERIENCE BECOMES A COMPETITIVE ADVANTAGE

The insurance industry is a competitive market like many other industries. Here, keeping your customer is a great deal than getting one.

Consumers will remain if a company can provide them with the best customer experience. InsurTech companies understand this very well and try to keep everything simple and user-friendly.

Along with that, they spend a large amount of time understanding their customers' needs, which enables them to offer the best customer experience to their consumers.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

ENHANCED DATA MANAGEMENT & SECURITY WITH BLOCKCHAIN

Blockchain, a shared, immutable ledger that eases the process of recording transactions and tracking down assets in a business network, has gained huge applause from its users because of its strict security system.

The technology uses cryptographic algorithms for creating a secure register of information that strictly prevents unauthorized access, alteration, or extraction of data.

Many InsurTech companies are using this technology to secure consumers' data, to make the processing of claims faster, and to prevent any unexpected risk of fraud, which improves the company's customer experience drastically and allows them to offer IoT insurance products.

BIG DATA ADVANCED ANALYTICS

As I mentioned earlier, to offer your customers the best services you need to know what they want, and what is the best way to serve them.

This is an age of information. But there is no meaning if you can’t make any sense of the information you have. Here comes the Big Data technology. InsurTech companies are using Big data advanced analytics to get an insight into their customers.

This helps them to understand their customers' needs more deeply, hence paving the way for building a stable consumer relationship. Analyzing the big data makes it easier for companies to understand customer habits and offer tailored

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

offers for individuals. It also enables companies to predict the risk and take action to reduce them.

THE RISE OF NO-CODE & LOW-CODE PLATFORMS

Today, creating digital products has become easy because of the development of No-code and low-code software development platforms.

To create a business application, one doesn't need to be an expert programmer with the knowledge of multiple programming languages.

The basic understanding can be enough thanks to the platforms like Outsystems, Mendix, Appian, Salesforce, and Microsoft which provide tools for companies to develop, deploy and manage sophisticated business applications.

These platforms help InsurTech companies to create a front-end consumer experience and enter into the customer-oriented era.

SOCIAL MEDIA DATA

Social media is not just a platform for entertainment nowadays.

Many businesses are entirely built on social media. Usually, business enterprises think of social media as a tool for marketing strategies, called social media marketing. But social media can play a greater role beyond just being a tool for advertisement.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

InsurTech companies use social media data to improve their risk management strategies.

For example, the Dutch InsurTech startup Kroodle developed a strategy to use social media for interacting with customers. Consumers file claims, get quotes, and request other services using their Facebook account.

InsurTech startups can also use social media for investigating fraud. They can investigate the social media activity of insureds to find out any possibilities of fraud very.

There are tools available that investigate claims throughout the assessment process by examining social media activity.

DRONES

The technological revolution has become a blessing for InsurTech companies. Every day, there are newer technologies used in innovative ways by insurance firms. One such technology is Drones.

Many InsurTech startups now use drones during different stages of the insurance lifecycle. The drone can be used to collect data for calculating risk before offering a policy, it can be used in preventive maintenance, and also assessing the damage.

One such example is Farmers Insurance, which deployed Kespry drone technology to enhance the customer experience and increase safety.

These drones are utilized for roof inspections and other assessments, and the data collected by those drones are stored in their cloud for analysis. This is also a great example of IoT and other technologies working together in the

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

InsurTech industry.

The InsurTech industry is evolving with the advancement of new technologies. Newer trends are getting attention. The startups always come with a unique idea to aid the industry's growth.

Who knows what is waiting for us next!

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

CRITICISM OF INSURTECH

Though InsurTech has brought a revolutionary change in the insurance industry, it has gained some criticism along with applause.

First of many InsurTech companies collects data of their consumers to understand potential risk and customer behavior. It sounds great if we look at it from one side. But there are some concerns about the privacy of the customers along with the potential security threat.

Any data that has been collected by the companies can be used against the customer if the data gets leaked.

Secondly, constant surveillance is not a comfortable thing. Historically, people want freedom. If someone or something is constantly surveilling, people may find themselves in an uncomfortable situation.

Many InsuTech companies are just startups, trying to establish themselves in the market. But there are bigger fish dominating the ocean, and competing with them is not easier. Many startups end up selling their platforms and innovative ideas to giant companies.

Apart from all of these, InsurTech has been also criticized for taking place the job of many people. Hence, many works are now can be done with the help of automation, people are getting fewer opportunities to work.

However, these criticisms can be applicable for other

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

industries that are running their business based on technologies. Proper use of technology in the insurance industry can diminish the harm.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

CONCLUSION

Like every other industry, InsurTech has its critics. But if we can overlook the criticisms for a moment, we will see it has come as a blessing in the slow-paced, boring insurance industry.

From its emergence to its continuous growth, there are ups and downs, but it continues to flourish. It doesn't only take care of the insurance companies but also focused on providing the best customer experience to its consumers.

The way it has impacted the value chain has made it possible to become a game-changer in the industry. The advancement of technology made it possible to bring a revolutionary change in the insurance market.

From registration to claim, data collecting to analysis, it has revamped every part of the streamline. Making faster and simpler processes has attracted consumers to the market. The industry is growing rapidly.

With the innovative InsurTech business models and trends, startups are providing the best services to their customers. The customized pricing and niche-based categories made it possible to include all classes of people in the insurance industry.

The easy process of getting insured freed the insurer from doing boring tasks. Instead, they are focusing on growing their business with creative ideas. The emergence of ever-new trends is taking us towards the future insurance industry.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

REFERENCES

The following references were consulted to create this Super Guide:

- https://www.itij.com/latest/long-read/brief-history-insurtech
- https://www.mordorintelligence.com/industry-reports/global-insurtech-market
- https://bimamobile.com/our-customer
- https://www.metromile.com/
- https://apextechinc.com/the-ultimate-guide-to-insurtech-building-a-business-strategy-for-the-digital-age/
- https://www.infigic.com/blog/what-is-insurtech-and-its-business-model/
- https://dashdevs.com/blog/introduction-to-insurtech-business-models-challenges-trends-and-examples/
- https://www.tibco.com/reference-center/what-is-insurtech
- https://n26.com/en-eu/blog/insurtech

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

ABOUT THE AUTHOR

Daniel Pereira is a Brazilian-Canadian entrepreneur that has been designing and analyzing business models for over 15 years. You can read more about his journey as a Business Model Analyst **here**.



E-mail Daniel if you have any questions at: daniel@businessmodelanalyst.com
You can connect with Daniel at Linkedin: https://www.linkedin.com/in/dpereirabr/

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited



THE BUSINESS
MODEL ANALYST

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited